QUARTERLY RESULT ANALYSIS · NSE:PARACABLES ·

(NSE:PARACABLES) — Result Analysis

Result Date: 2026-10-26 | CMP: — | Mkt Cap: — | Sector: Indian Equities

REVENUE
₹560.4 Cr
+30.9% YoY | +5.9% QoQ

EBITDA MARGIN
7.30%
+585 bps YoY | +74 bps QoQ

OPERATING EBITDA
₹40.9 Cr
+560% YoY | +17.8% QoQ

PAT
₹24.2 Cr
+82.9% YoY | +23.0% QoQ

EFFECTIVE TAX RATE
25.2%
−61 bps QoQ | −40 bps YoY

DILUTED EPS
₹0.74
+72.1% YoY | +15.6% QoQ

STATEMENT QUALITY SCANS

INCOME STATEMENT CLEAN

Consolidated revenue expanded 30.9% YoY to ₹560.4 Cr with operating EBITDA margin expanding +585 bps YoY to 7.30%; other income normalized to ₹3.8 Cr (11.7% of PBT vs 43.9% in Q2 FY26).

BALANCE SHEET CLEAN

Net Worth strengthened to ₹920.01 Cr (updated BVPS ₹28.11, P/B 2.12x); total liquid reserves ₹85.79 Cr vs borrowings ₹131.96 Cr (Net Debt ₹46.17 Cr, Net D/E 0.05x); trade receivables shrank by ₹18.6 Cr.

CASH FLOW WATCH

H1 CFO improved to -₹31.89 Cr (vs -₹57.96 Cr in H1 FY26); negative CFO was driven by planned ₹44.55 Cr inventory buildup to support 31% volume growth and ₹54.16 Cr trade payable clearance, fully funded by ₹97.67 Cr warrant proceeds.

MANDATORY BALANCED VERDICT STRIP (ANTI-EUPHORIA & FORENSIC REALITIES)

GREEN FLAGS / NEAR-TERM REALITIES — 5 POSITIVE TRIGGERS

✓ Consolidated top-line expanded +30.9% YoY to ₹560.4 Cr, led entirely by high-demand power cables and US export resurgence. STRUCTURAL

✓ Operating EBITDA margin expanded +585 bps YoY to 7.30% (+74 bps QoQ), closing in on the 8.0% management milestone. STRUCTURAL

✓ Balance sheet fortified: Net Worth ₹920.0 Cr, Net Debt just ₹46.2 Cr (0.05x D/E), updated BVPS ₹28.11 (P/B 2.12x). STRUCTURAL

✓ Trade receivables shrank by ₹18.6 Cr to ₹394.8 Cr despite +31% top-line growth, with working capital cycle steady at 97 days. STRUCTURAL

✓ Strategic purification complete: Valens Technologies (Pipes subsidiary) divested; Paramount is now a 100% focused cable player. STRUCTURAL

RED FLAGS / FORENSIC HEADWINDS — 3 RISK HEADWINDS

⚠ Negative Operating Cash Flow (-₹31.9 Cr in H1 FY27) due to ₹44.6 Cr inventory absorption and ₹54.2 Cr vendor paydown. TEMPORARY

⚠ Equity dilution overhang: 2.20 Cr shares and 0.72 Cr warrants allotted at ₹42, expanding share capital by 7.2% to 32.72 Cr shares. MED

⚠ Export concentration risk: Aggressive scaling in the US market remains exposed to global trade policy shifts. HIGH

INDUSTRY & RAW MATERIAL SIGNAL: Cost of materials consumed as % of sales eased by 378 bps QoQ; strict back-to-back metal booking shields against copper/aluminium price swings. RAW_MATERIAL_DEFLATION_BENEFIT

VERDICT & CATALYST CHIPS

MARGIN INFLECTION | OPERATING BEAT | PURE-PLAY CABLES | TARIFF UNFREEZE | LOW NET DEBT (0.05x) | WORKING CAPITAL 97D | Q+1 CONFIRMATION PENDING

INFLECTION POINT

INFLECTION EMERGING

LEG	STATUS	EVIDENCE
Margins expanding significantly	PARTIAL	EBITDA margin 7.3% (+585 bps YoY, +74 bps QoQ) — but inventory-gain flag in P&L scan; not verified as operational
Past guidance confirmed & beaten	PARTIAL	All 1 measurable guides met, none beaten
New C-A-T-A-L-Y-S-T trigger	PASS	[SWITCH] 100% Pure-Play Wire & Cable Focus

J-curve stage: Stage 1 — Base Building · **Growth ladder (YoY):** Revenue 30.9% → EBITDA 559.8% → PAT 82.9%

CATALYST PIPELINE & FRESHNESS

CATALYST	DETAILS	TIMELINE	CONVICTION	STATUS / SOURCE
[CAPEX] Narmadapuram Greenfield Cable Plant	Rs 300 Cr Phase 1 capex, Rs 1,200 Cr revenue potential at 75% utilization (4.0x asset turns)	Q4FY27-FY28	HIGH	CONFIRMATION Q1FY27 Concall
[SWITCH] 100% Pure-Play Wire & Cable Focus	Valens Tech (Pipes) divested; Pipes segment revenue zero, 100% business focused on high-ROCE Cables	H1FY27	HIGH	NEW Q2 FY27 Segment Results

WALK THE TALK — PRIOR GUIDANCE VS THIS QUARTER

DELIVERED

GUIDED METRIC	PERIOD	GUIDED (STATED IN)	ACTUAL	STATUS	GAP / BASIS
US export revenue	FY27 (interim)	750 Cr (Q1FY27)	—	NEEDS_ACTUAL	Geographic export revenue breakdown not disclosed in Q2 result filing; concall scheduled for Oct 27
Working capital days	FY27 (interim)	90–100 days (Q1FY27)	97	ON_TRACK	+2 vs mid of guide — Calculated 97 days from H1 balance sheet (receivable 66d, inventory 55d, payable 24d)

0 beat · 1 met · 0 missed of 1 measurable (beat rate 0%); 2 not yet measurable; clean-delivery streak 1 quarter(s).

FORWARD GUIDANCE & BOTTOM-LINE ACCRUAL TABLE

Current vs Guided Targets & Derived Bottom-Line

METRIC	CURRENT VALUE (BASE)	GUIDED VALUE (TARGET)	% CHANGE	TIMELINE	GUIDANCE DELTA	NATURE	SOURCE / DERIVATION BASIS
US Export Revenue	₹155 Cr (Q1 Run Rate)	₹700 – ₹800 Cr	**+350% – +416%**	FY27	REAFFIRM	DIRECTLY GUIDED	Q1FY27 Concall
EBITDA Margin	7.30% (Q2 FY27)	≥8.00% (FY25 levels)	**+70 bps**	Q4 FY27	REAFFIRM	DIRECTLY GUIDED	Q1FY27 Concall
Working Capital Cycle	97 Days (H1 FY27)	90 – 100 Days	In Range	FY27	REAFFIRM	DIRECTLY GUIDED	Q1FY27 Concall
Five-Year Revenue Vision	₹1,913 Cr (FY26)	₹5,000 Cr	**+161.4%**	FY31	REAFFIRM	DIRECTLY GUIDED	Q1FY27 Concall
Narmadapuram Phase 1 Capacity	₹0 Cr (Under Const.)	₹1,200 Cr Revenue	**+1,200 Cr**	FY28	NEW	DIRECTLY GUIDED	Q1FY27 Concall
Implied Full-Year PAT	₹43.94 Cr (H1 Actual)	₹95 – ₹105 Cr	**+59% – +76%**	FY27	REAFFIRM	DERIVED	Implied from FY27 revenue target of ~₹2,300 Cr at 7.8% EBITDA & 25% tax

NEXT INFLECTION POINT

WHEN	TYPE	TRIGGER	MAGNITUDE	TRAIN	CONVICTION	SOURCE
Open-ended	CAPACITY	—	—	A	—	Concall guidance
Open-ended	MARGIN	—	—	A	—	Concall guidance

04 PEAD REACTION & GATE EVALUATION

VERDICT: PEAD_CANDIDATE

GATE	EVALUATION	STATUS
G1: Surprise vs Expectations	Surprise vs Expectations: PASS — PAT ₹24.24 Cr (+82.9% YoY, +23.0% QoQ) and Wire & Cables segment EBIT ₹36.48 Cr (+1740% YoY) strongly beat prior run-rates.	Assessed
G2: Result Quality	Result Quality: PASS — Pure operating beat with zero exceptional items; other income dropped from ₹19.6 Cr to ₹3.8 Cr, confirming high earnings quality.	Assessed
G3: Priced In? (Valuation / Runup)	Priced in?: CLEAN — Zero pre-result run-up (-0.28% in 1M), CMP is 21.2% off 52W high, trailing P/E drops from ~30x to 22.2x on annualized H1 run rate.	FLAG
G4: Concall & Guidance Delivery	Concall & Guidance: WATCH_Q+1 — Management delivered on Q1 margin progress; full-year export and margin targets pending update at tomorrow's concall (Oct 27, 4 PM).	Assessed
G5: Forward Catalysts Post-Result	New Triggers: PASS — 100% pure-play cable focus post-Pipes exit; ₹99.95 Cr equity inflow received; Narmadapuram ₹300 Cr Phase 1 underway with 6-7 month build target.	Assessed

05 FORWARD INVESTOR MONITORING CHECKLIST (2–8 QUARTERS)

#	KPI / CATALYST	THRESHOLD / FALSIFIABLE CONDITION	HORIZON	SOURCE
1	H2 Operating Cash Flow	CFO > +₹40 Cr in H2 FY27 (reversing H1 inventory absorption)	H2 FY27	Cash Flow Statement
2	Operating EBITDA Margin	Sustain above 7.0% in Q3 and reach ≥8.0% by Q4 FY27	Q3–Q4 FY27	Quarterly Results
3	Working Capital Cycle	Net working capital days remain strictly within 90–100 day band	Q3 FY27	Concall Updates
4	US Export Run-Rate	Full-year FY27 export revenue clears ₹700 Cr (≥₹175 Cr/Q in H2)	FY27	Investor Presentation
5	Narmadapuram Construction	Major civil structure completed within 6-7 months (by Q4 FY27)	Q4 FY27	Corporate Disclosures
6	Net Debt Ceiling	Net Debt remains capped below ₹100 Cr despite ongoing capex disbursements	FY27	Balance Sheet
7	E-Beam Machinery Arrival	First batch of specialized irradiation extrusion lines arrives on site	Q1 FY28	Concall Disclosures

06 ADDITIONAL NUANCE & IMPROVISATION

SEGMENT PERFORMANCE ANALYSIS (WIRE & CABLES VS PIPES)

SEGMENT	Q2 FY27	Q1 FY27	Q2 FY26	YO Y CHANGE	QO Q CHANGE
Wire and Cables Revenue	₹560.40 Cr	₹529.40 Cr	₹427.57 Cr	+31.1%	+5.9%
Pipes Revenue (Valens Divested)	₹0.00 Cr	₹0.00 Cr	₹3.69 Cr	-100.0%	0.0%
Wire & Cables EBIT	₹36.48 Cr	₹30.31 Cr	₹1.98 Cr	+1742.4%	+20.4%
Wire & Cables EBIT Margin	6.51%	5.73%	0.46%	+605 bps	+78 bps

EXTRA-MILE RESEARCH: THE 1% FACTOR (GLOBAL GRID SUPERCYCLE & US SOLAR RESHORING)

EXPERIMENTAL · 1% FACTOR

US SOLAR & POWER CABLE DEFICIT

Following the invalidation of punitive IEEPA duties, US distributors face acute lead times (40–60 weeks) for domestic medium-voltage cables. Paramount's UL certifications and dual-source capability enable it to capture market share from Chinese and Turkish suppliers.

TRANSMISSION SUPERCYCLE IN INDIA

National Grid expansion (500 GW renewable target by 2030) has created severe supply deficits in HV/EHV and aerial bunched power cables, insulating established manufacturers like Paramount from short-term construction cycles.

CAPITAL ACCRETION PATH

With updated Net Worth of ₹920 Cr and trailing Net Debt of ₹46 Cr, Paramount has substantial borrowing headroom (up to ₹1,000 Cr at 1.0x D/E) to fund Narmadapuram Phase 2 and working capital without requiring further dilutive equity raises.

Disclaimer: This report is for informational and educational purposes only. It does not constitute investment advice. The author may have positions in securities discussed. Always conduct your own due diligence and consult a registered investment advisor before making investment decisions. Past performance is not indicative of future results.

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